

EVOLVING DEVICE EXCHANGE MARKET

SERVIFY'S MELVILLE FERNANDES DISCUSSES THE IMPACT OF DEVICE EXCHANGE PROGRAMS, BUILDING TRUST, AND THE FUTURE GROWTH OF THE RESELLING ECOSYSTEM

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Q How do you see device exchange programs in India shaping up over the past few years?

A In India, the trade-in/device exchange market has changed a lot in recent years. More and more OEMs/brands are recognising its immense power as a strong affordability lever to drive sales of new devices.

This is particularly perceptible in the smartphone space, followed by other handheld devices like laptops and tablets. Increasing participation of OEMs/brands in the exchange programs coupled with attractive offers for customers have helped organise the sector, which was mostly unorganised, till recently.

Q What is Servify's role in building trust and transparency in the reselling of devices in the market? Has it changed over time?

A Servify has developed an exchange tech platform of its own. The beauty of our platform is that it unites all ecosystem players relevant for running such exchange programs on the same plane, ensuring complete transparency to all the entities involved.

Devices traded on the Servify platform go through an automated functional check ensuring the right price

is offered based on the actual device condition. The data erasure process followed by Servify (Certified by ADISA/ISO/AAA/NIST) on each device traded in on its platform ensures complete data privacy. Devices sold in the second hand market are based on trust factor and there is no warranty or affordability (EMI schemes) available on such devices, which is a huge risk.

Today, many organised resellers in the market who purchase pre-owned devices through our platform offer warranty on the products due to greater assurance of quality, thereby helping build customer confidence on such devices. We believe that soon OEMs will start to support warranty on pre-owned devices and offer EMI schemes/offers on them, thereby increasing product penetration further.

Q What are the biggest opportunities for growth in the used devices ecosystem?

A With most OEMs offering Exchange Bonus and EMI schemes on purchase of new devices, the cycle time for upgrade is reducing fast; this is aided further by massive technology enhancements, especially in smart devices. Earlier, customers held on to their devices for

long periods before considering buying new ones. That time to upgrade to a new device has shrunk considerably today, which has created more opportunities for device exchange than in the past.

Q How do you perceive the customer mindset towards trading-in gadgets in India?

A As brands offer increasingly lucrative deals on device exchange, coupled with participation of organised players to facilitate those programs using technology, customer awareness is increasing by the day.

This is leading to more customers participating in the exchange programs today than ever before. As the market gets more organised and the challenges highlighted earlier get addressed by the industry operators, we believe more customers will feel comfortable to exchange their old devices against purchase of new ones. Both the offline and the online channels present great potential for growth of trade-in/exchange volumes. **[d]**